

Daily AI, Crypto & Tech Power Briefing

August 24, 2026

AI's Capital Race Gets More Expensive as Crypto Moves Toward a Usable Rulebook

Alibaba's \$10.2 billion share placement is a clear signal that the AI race is now a financing race as well. The immediate market reaction also shows investors are asking a tougher question: when does heavy infrastructure spending become durable cash flow?

Nvidia's reported talks to invest in Perplexity underline how chip leaders can expand their strategic reach through software and distribution. In crypto, the SEC's proposal makes token issuance more concrete, while Bitcoin's rebound still shows the power of macro liquidity.

1. Alibaba's \$10.2 billion share sale puts a price tag on the AI infrastructure race

Reuters · August 24, 2026

Alibaba stock slumps in Hong Kong after \$10.2 billion share placement to fund AI

The story

Reuters reported that Alibaba completed an HK\$80 billion, or \$10.21 billion, Hong Kong share placement aimed at artificial-intelligence development. The shares were priced at a discount to the prior close, and the stock fell on Monday as investors focused on the scale of the spending program and the uncertainty around its payoff.

The transaction converts an AI strategy into a visible capital-allocation decision. Alibaba is adding equity capital now to support chips, cloud infrastructure and model development

rather than relying only on operating cash flow or debt.

Why it matters

AI infrastructure is increasingly a balance-sheet competition. Funding capacity affects who can secure compute, build cloud services and withstand a period in which capital expenditure arrives before revenue and margin improvements.

For investors, the key issue is return on invested capital, not the fundraising headline. A discounted placement can finance an opportunity, but it also creates dilution and raises the standard for turning capacity into paid demand.

What to watch

- Alibaba's next disclosures on AI capital expenditure, cloud revenue and utilisation.
- Whether competitors finance capacity through equity, debt, partnerships or customer prepayments.
- Signs that model and cloud demand is growing faster than the cost base.

2. Reported Nvidia-Perplexity talks show the value of owning an AI distribution layer

Reuters, citing The Information · August 24, 2026

Nvidia discusses Perplexity investment at \$30 billion-plus valuation, The Information reports

The story

Reuters reported that Nvidia is in talks to invest in Perplexity in an equity round that could value the AI-search company above \$30 billion, citing The Information. The talks are not a completed transaction, so valuation, size and terms remain unconfirmed.

The strategic logic extends beyond a financial holding. A search product sits near the user interface, where retrieval, model routing, advertising or subscription economics and feedback signals can shape which models and infrastructure win usage.

Why it matters

The AI stack is being contested at several layers at once: chips, cloud capacity, models and the applications that control customer relationships. Owning or backing distribution can protect demand and create a route for new infrastructure and model capabilities to reach users.

A high private valuation is a claim about future monetisation, not proof of it. Buyers should distinguish attention and usage from recurring revenue, gross margin and the cost of answering complex queries at scale.

What to watch

- Whether the proposed funding round closes and what commercial agreements accompany it.
- Perplexity's revenue quality, customer retention and inference-cost discipline.
- How platform partners respond as AI search becomes a more direct distribution channel.

3. The SEC's crypto proposal gives token issuers a more specific compliance map

U.S. Securities and Exchange Commission · August 18, 2026
[Regulation Crypto Assets](#)

The story

The Securities and Exchange Commission proposed Regulation Crypto Assets, a tailored offering regime for certain investment contracts involving crypto assets. The proposal includes two registration exemptions: one for offerings up to \$5 million over four years, and another for offerings up to \$75 million in each 12-month period, paired with principles-based disclosures and continuing antifraud obligations.

It also proposes a conditional safe harbor from the term investment contract in the definition of security. It is a proposal, not a final rule, and its practical scope will depend on the final text and the public-comment process.

Why it matters

A usable issuance route can matter more than broad rhetoric about whether crypto is regulated. It determines what founders disclose, how investors evaluate risk, and whether intermediaries can support a distribution without relying on regulatory arbitrage.

The exemptions could lower compliance friction for some offerings while making governance, disclosures and recordkeeping more important. Institutional distribution depends on credible controls as much as on a token's technical design.

What to watch

- Comments on the proposed exemptions, disclosure standard and conditional safe harbor.
- The interaction with congressional market-structure work and Commodity Futures Trading Commission authority.
- Whether issuers adjust legal documentation, custody arrangements and investor communications before final rules.

4. Bitcoin's rebound shows how bond-market liquidity can amplify crypto positioning

Associated Press · August 22, 2026

How bitcoin and gold went from a slump to an MVP week in just a few days

The story

The Associated Press reported that Bitcoin rose above \$77,000 on Friday after having traded below \$60,000 at the end of June. It linked the week's move to the Treasury Department's plan to increase long-term Treasury buybacks, a weaker dollar and renewed political support for crypto legislation.

The report also described a positioning effect: as Bitcoin broke above a range traders had expected to hold, short sellers had to buy to close positions. More than \$4 billion in bearish crypto positions were liquidated during the rally, according to CoinGlass data cited by AP.

Why it matters

Crypto price moves are often a combination of macro conditions and market structure. Treasury yields, dollar direction and liquidity can change the valuation multiple applied to risky assets; leveraged positioning can then accelerate the move in either direction.

For professional investors, a rally does not remove custody risk, liquidity risk or regulatory uncertainty. It does show why portfolio and risk controls need to account for correlated moves across bonds, currencies and digital assets.

What to watch

- Treasury buyback execution, bond yields and the next signals on financial conditions.
 - Derivatives open interest and whether liquidity remains orderly after forced buying subsidies.
 - Progress on crypto legislation and flows into regulated crypto products.
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Professional terms

capital expenditure (capex)	return on invested capital (ROIC)
equity placement	share dilution
utilisation rate	inference cost
model routing	distribution layer
recurring revenue	gross margin
safe harbor	registration exemption
regulatory arbitrage	institutional distribution
custody risk	liquidity premium
short covering	valuation multiple

Today's big picture

Today's big picture is that AI competition is entering a financing and distribution phase. Capital expenditure is growing, but the durable winners will need to convert hardware, cloud capacity and applications into returns that exceed their cost of capital.

Crypto is becoming more connected to conventional market mechanics. A clearer issuance framework can support institutional participation, but macro liquidity and leveraged positioning will still determine how quickly risk moves through the market.